

PHARMACEUTICAL BUSINESS POLICY IN GEORGIA: CHALLENGES AND REFORM OPTIONS

DOI - 10.36962/ecs105/6-8/2022-15

Sofiko Gvinianidze,
Caucasus International University, Doctorate
sofiko.gvinianidze@gmail.com

RESUME

The aim of the article was to analyze the legislative and legal norms of the Georgian pharmaceuticals market, their comparison with corresponding international standards, identifying the main challenges in the sector and proposing recommendations.

For these purposes, primary desk research was conducted. Legislations, Laws and government orders for improving the supply of medicines to the population served as information bases for the study. During the work, reports from the Agency for the Regulation for Medical and Pharmaceutical Activities, Georgian Representatives of International organizations, the State Statistical Service, and industry experts were used.

The study of the issue revealed that the Georgian pharmaceutical sector really needs to improve, revise existing regulations, harmonize with internationally recognized “good practices” (GMP, GDP, GLP, GCP, GVP) and improve financial access to medicines.

We will highlight the following challenges: weak regulation of the competitive environment, weak regulation of the pharmaceutical market, quality of medical services provided – polypragmasia. Signs of non-transparent marketing relations and regulation of prices for medicines. The latter is particularly noteworthy because, as it turns out, in recent years “Georgia has been the leader in the European region in terms of total health expenditures on medicines which accounts for 35,5%” (5). “The population of Georgia spent 983 million

GEL from own pockets to buy medicines” (5). This is a very large and heavy cost for the population with poor and chronic diseases. We believe that the problem of high prices for medicines is the most tangible, urgent and large scale for our population.

Thus, we have made it a priority to work on health policy issues in terms of containment of financial expenditures, both in terms of reducing the total cost of medicines and in terms of direct payments made by the population.

To consider all the above, it can be said that the research of the pharmaceutical business policy was selected due to the high public interest, the challenges of the field and the scarcity of study in this regard. In order to highlight the shortcomings and deficits in the regulation, to suggest ways to correct them.

Key Words: pharmaceutical market, price regulation, recognition regimen, reference price, generic product, GMP, GDP, GLP, GCP, GVP.

INTRODUCTION TO THE ARTICLE

The pharmaceutical sector is one of the most challenging areas of business in every country in the whole world. The products of the pharmaceutical industry are essential for wellbeing of all human beings. The importance of the comprehensive research on the economic aspects of the development in the pharmaceutical business is a matter of national security as well, because as one of the most important sectors of the world’s economy, the pharmaceutical industry has a serious impact on political, economic or social situation of the world. The COVID-19 pandemic during recent years is a very apparent example of Pharma Business complexity and influential potential.

The target of the article on the effectiveness of the regulation of the pharmaceutical business sector were selected due to the challenging nature of the field and the scarcity of study in this regards. Also due to high public interest. In order to highlight the shortcomings and suggest ways to improvement. By analyzing strength and weaknesses of the system, define most significant challenges, and formulate appropriate recommendations.

The aim of the research was defining scientifically the stages of development of managerial system of the Georgian Pharmaceutical sector; regulation policy, namely:

- Analysis of local regulatory data bases and regulatory norms and their familiarization with internationally accepted practices, guidelines and standards;
- Analysis of data basis and officially published statistics from Ministry of Health and Geostat;
- Analysis of reports of independent non-governmental international organizations in regards of pharma business.

The article uses historical, systematic, comparative and statistical analysis and synthesis research methods. According to the statistics, recent media, non-governmental sector reports in recent years actively discusses the issues of regulatory effectiveness, quality management and control effectiveness of medical activities.

BASIC TEXT:

As the Georgian pharmaceutical market research shows, state regulation is characterized by a high degree of liberalization in the sector. Weak or even more formal barriers to gain marketing authorization, market entry and further operation are evident, leading to high market concentrations. At the stage of drug registration, no local laboratory quality examinations, no local clinical data required by the Law. National registration is a relatively simple procedure, there are even more simplified modes for recognition registration procedure and addition of different make-up, they can be used any an interested person without medical background and authorization from the direct manufacturer or Marketing Authorization Holder. During recognition procedures, documentations are not sent from the first source and their authenticity is also questionable. Most of those products were imported on the market only one time, and some of them are not imported at all. Traceability of distribution mostly violated during these regimen and GDP and GPV topics are also in question.

Analysis of data from the last decade reveals that the annual data of registered medicines has doubled. During last two years about 4000 products were registered under national regimen 2321 under recognition regimen [11]. It is interesting here to do an in-depth study to determine how much of this nomenclature is needed in the market and how much is being imported into each of the authorized medicines.

Based on local law pharmacy chain subjects apply for license from the opening and based the law licenses issued to authorized pharmacy operators are indefinite, which does not allow the regulatory body to constantly monitor licensed pharmacies, to have accurate and up-to-date information on the functioning pharmacies and compliance with permit conditions.

In latter, in turn, indicates the low level of competition and aggravates the unhealthy business environment – resulting in the pharmaceutical market, when the structure is so saturated that players often take over the market, constantly enjoying high profit margins. Due to weak monopoly control in the country and other reasons which raises some questions and increases the risk of unhealthy marketing relationships. Namely, we would like to highlight expansion in the neighboring segments - establishing own production units, hospitals chains, insurance services etc.

With the analysis of the market monopoly criteria, it's easy to say that the segment of the pharmaceutical market is mostly unbalanced in Georgia.

Analysis of the regulatory policy system shows shortcoming in regards of ensuring the quality, safety and efficacy of medicines in the country is not a high priority according to both pre-marketing and post-marketing laws, namely in line with internationally recognized norms of good practices, only two of them GMP and GDP are going to work on national level at the moment. There has been some progress in addressing national requirements for GMP and GDP practices, because it becomes mandatory to undergo a national inspection by national inspectorate. However, so far only a few of the 47 facilities inspected in

2019-2020 have met the requirements for GMP and only one unit from 40 facilities was certified of GDP certificate (11). As it is well known the lack of good distribution practices, standards, puts at the risk the quality of medicines in circulation in the country. Especially in the conditions when the transport instructions of some medicines necessarily provide for the protection of “cold chain” conditions. Standardized procedures facilitate quality management and control.

Due to the above factors, the shortcomings in the regulations, the conditions of storage, storage and transportation of the drug during the pharmaceutical activity cannot ensure the principle of movement of the drug in the safe environment. Permit conditions and norms are far from internationally recognized practices and standards, however, do not allow for further monitoring. It is very important more actively, strongly and widely implement GDP standards [9].

As for quality assurance of medicines, there are no mechanisms on the ground, such as the national quality control unit for example, in order to constantly and in the required volume control quality in accordance with their specifications for the imported and local products from the chains. The number of quality control tests performed annually really needs improvement (only 252 names of medicines to be purchased as a testing samples for analysis, while several thousands of medicines regularly are circulated in the market (11). In this regard, it is desirable to implement Good Laboratory practices.

In the whole world the safety of medicine is first and in this direction it is very welcome that in 2021 a Pharmacovigilance first annual report was published (11) However it is very important to further develop a national pharmacovigilance system with active communication with medical staff, NCDC, manufacturers, patients, license holders and develop communication channels. Awareness-raising activities for the patient as well as healthcare professionals to provide information flow about drug adverse events, which will enable the regulatory body to implement the safety risk assessment system to monitor the pharmaceutical product safe turnover on the market.

In addition to all the above mentioned, we would like to highlight that the most significant challenge of the market is the high price of medicines.

In particular:

- “27,8% of the household has noted, that purchasing drugs has been the biggest expenses for their family budget” [3].
- “Drug expenses are especially problematic to the indigent quintile of the population, because 90% of these types of expenses result in catastrophic expenses to the public healthcare” [4].
- “In the European region Georgia is leading in public healthcare expenses in the drug aspect, which rounds up to almost 35,7%. In our country. Georgia’s drug expenses percent-ally exceed Gross Domestic Product of EU countries by 2%”[5].

Analyzing pricing data from recent years highest, and equally rising. Including 2020 year, with the six-month data of Geostat, comparing last year’s prices to a similar period of time this year, prices of drugs have risen up to 6% [10]. Data of reports from the international research institutions about the local pharmaceutical market are also noteworthy.

It is a fact that as various countries practice shows worldwide that countries have experienced, successful models of drug price regulations [6]. We would like to briefly address a few most significant:

Regulation of mark-ups in the pharmaceutical supply and distribution chain - this particular approach is used in many countries, in wholesale and retail trading chains, or in both in parallel, mostly in regulation of prices on the essential medicine. This approach is a great way to regulate extra costs on drugs. From the point of regulation politics, it is also simple and easy accomplishable.

Use of external reference pricing - which means using prices of similar economic-social countries as ours as a standard price. According to the World Health Organization (WHO) data more than 40 countries are successfully using this “standard price” model, for the success of the model, it is crucial to accurately select a country

for comparison and establishing mutual cooperation with country policy makers for data sharing.

Promotion of the use of generic medicines – it is a fact, that generic medicines are well experienced and time-trusted, therefore, promotion of this particular group is not risky, is ethical, and gives the opportunity of decrease prices on general medical care. It's comparatively easy to gain permission on entrance of generics on the market. It is also easy work out different treatment guidelines and schemes due to the interchangeability of generics. Without a doubt, treatment with generic medicine significantly decreases public healthcare expenses on drug segment. Promotion of generic medicines, on regulatory level is route to the better accessibility, cost efficiency, stimulates growth of local manufactures, and over all gives a multifaceted economic effect.

CONCLUSION

While analyzing Georgian pharmaceutical business management system, it's easy to say that the level of liberalization is obvious – we have a simplified process of entering the drug market, as well as operating conditions. Often, requirements have a formal habit on the market, which negatively affects the business environment, which makes us obligated to take actions in the pharmaceutical market. When clearly antitrust law and principle control monitoring is eased to some degree, every action is masked under the free market and market logic principles.

These days, it's not difficult to analyze governmental attitude towards giving out a helping hand to the public healthcare system. By enlargement of the healthcare budget, implementing additional easy supply regulation from Turkey, promotion use of generics, implementation of electronic receipt system, improvement in healthcare programs and readiness ensures better care for public welfare, but it's obvious also, that the government doesn't want to take part in regulating drug prices directly. However, existing drug market situation and permanently increasing drug prices, clearly proves

that “market should regulate drug prices” attitude is not effective, because for many ongoing years, drug prices have been rising, and accessibility remains unstable, and quality not tested mostly., enlargement of the healthcare budget, improved healthcare programs and readiness ensures better care for public welfare, but it’s obvious, that still noteworthy challenges exist:

- The safety, efficacy, quality, rational consumption and availability of medicines have been and remain the challenge of the Georgian healthcare system.
- Oligopoly in the pharmaceutical market.
- High price on medicines and highest in the region.
- Weak Safety monitoring (pharmacovigilance) system
- Ethics of clinical trials.
- Unethical marketing relations and polypragmasia.
- Transparency and rationality of public administration in the pharmaceutical sector.

Recommendations: The model of regulation should be constructed according to innovative management standards, rational bureaucracy and maximum transparency.

It is crucial to analyze existing challenges correctly, plan effective actions, so that we have a guaranteed recovery in the business field, establishment of good business relationships, giving out a helping hand to small and average business subjects, and elimination of unfair business arrangements and deals.

The analysis of the pharmaceutical business sector shows, that existing regulations are not sufficient and not quite enough. It is crucial to implement effectively the spread of updates and amendments in line with recommendations by the guidelines of World Health Organization (WHO). Also it is important to share the successful worldwide experience and harmonize existing Law accordingly.

Therefore, it is crucial arrangement of negotiations within policy makers and business to compose a consensus and stimulate establishing the innovative regulations. It is a necessity, to stricken regula-

tions on the pharmaceutical market in the aspects of quality control, accessibility, safety. Moreover, it is also important to set right communication ways towards the medical staff and clients, for the sake of fundament and popularization of generic medicines, increase awareness and helping out companies, on the regulation level.

REFERENCES

1. Healthcare System Barometer XI, Curatio International Foundation
2. Dialogue on Pharmaceutical pricing policies to improve the population's access to pharmaceuticals in Georgia, Curatio International Foundation 2019
3. Population Welfare Survey, UNICEF 2017
4. Overview of Government Expenses, World Bank 2017
5. Dialogue on Pharmaceutical pricing policies to improve the population's access to pharmaceuticals in Georgia, Tbilisi, December 2019
6. WHO Guideline on Country Pharmaceutical Pricing Policies 2020 Geneva, Switzerland
7. Danzon PM, Epstein AJ. Effects of Regulation on Drug Launch and Pricing in Interdependent Markets. Cambridge, MA; 2008
8. Kaplan W, Wirtz V, Gavi AN, Ewen M, Vogler S, Laing R. Policy Options for Promoting the Use of Generic Medicines in Low-and Middle-income Countries. 2016
9. Maini L. Price regulation in the pharmaceutical market. Harvard University; 2018.
www.geostat.ge.ka
www.rama.moh.gov.ge Report of State regulatory Agency of Medical and Pharmaceutical Activity 2019-2020yy.

ფარმაცევტული ბიზნესის პოლიტიკა საქართველოში: გამოწვევები და რეგულირების გზები

სოფიკო ღვინიაიძე,
კავკასიის საერთაშორისო
უნივერსიტეტი, დოქტორანტი

რეზიუმე

სტატია ეძღვნება ქართული ფარმაცევტული ბაზრის მარეგულირებელი საკანონმდებლო და სამართლებრივი ნორმების ანალიზს, მათი საერთაშორისო სტანდარტებთან შესაბამისობას, ფარმაცევტული ბიზნესის ძირითადი გამოწვევების იდენტიფიცირებასა და რეკომენდაციების მომზადებას.

ამ მიზნით ჩატარდა პირველადი და მეორეული სამაგიდო კვლევა. კვლევის საინფორმაციო ბაზა იყო მონაცემები ფარმაცევტული ბაზრის საკანონმდებლო ნორმების შესახებ, მთავრობის განკარგულებები და გადაწყვეტილებები. თემის ცალკეულ საკითხებზე მუშაობის პროცესში გამოყენებულია სსიპ სამედიცინო და ფარმაცევტული საქმიანობის რეგულირების სააგენტოს, საქსტატის, დარგობრივი ექსპერტების, საქართველოში მოქმედი საერთაშორისო ორგანიზაციების ანგარიშები.

საკითხის შესწავლისას გამოიკვეთა, რომ ქართული ფარმაცევტული სექტორი ნამდვილად საჭიროებს გაჯანსაღებას, მოქმედი რეგულაციების გადახედვას, საერთაშორისოდ აღიარებულ დარგობრივ “კარგ პრაქტიკებთან” (GMP, GDP, GLP, GCP, GVP) ჰარმონიზაციას და მედიკამენტებზე ფინანსური ხელმისაწვდომობის გაუმჯობესებას.

გამოვყოფდით შემდეგ გამოწვევებს: კონკურენტული გარემოს სუსტი რეგულაცია, ფარმაცევტული ბაზრის სუსტი რეგულაცია, მიწოდებული სამედიცინო სერვისების ხარისხი – პოლიპრაგმაზია, არაგამჭვირვალე მარკეტინგული ურთიერთობების ნიშნები და მედიკამენტებზე ფასების რეგულირება. ეს უკანასკნელი განსაკუთრებით ყურადსაღებია, რადგან რო-

გორც ირკვევბ, ბოლო წლებიბ განმავლობბში “ევროპიბ რეგიონში საქართველო ლიდერობს ჯანდაცვიბ მთლიან დანახარჯებში მედიკამენტებზე განუელი ხარჯებით, რომელთბ წილიც 35,7%-ს უტოლდება” (3). “2019წ. საქართველობ მოსახლეობბმ მედიკამენტებიბ შესაძენად საკუთარი ჯიბიდან 983 მლნ ლარი დახარჯბ” (3). ეს ძალიან მოცულობითი და მიძიმე დანახარჯიბ განსაკუთრებით ლარიბი და ქრონიკული დაავადებებიბ მქონე პაციენტებიბთვის. მიგვჩნია, რომ მედიკამენტებზე მბლბლი ფბსიბ პრობლემა ჩვენი მოსახლეობიბთვის ყველბზე ხელშესახები, აქტუბლური და მბსშტბბურიბ.

ამდენბდ, პრიორიტეტულბდ მივიჩნიეთ ფინბნსური დბნბხარჯებიბ შეკბვებიბ კუთხით ჯანდაცვიბ პოლიტიკიბ საკითხებზე ყურბდლებიბ გამბხვილება, როგორც მედიკამენტებზე მთლიბნი დბნბხარჯებიბ შემცილებიბ, ბსევე მოსახლეობიბ მიერ განუელი პირდბპირი გბდბხდებიდან უზრუნველოფიბ კუთხით.

ყოველივე ზემოთ განხილულიდან გამომდინარე შეიძლება ითქვბს, რომ ფარმბცევეტული ბიზნესიბ პოლიტიკიბ მიმოხილვბ შეირჩბ მბლბლი საზოგადოებრივი ინტერესიდან, სფერობ პრობბლემბტურობიდან და ამ კუთხით შესწავლიბ სიმწირიდან გამომდინარე. რბთბ გბმოიკვეთობ რეგულირებბში არსებული ხარვეზები და ნაკლოვბნებები, შეთბვბზეტული იქნბს მბთი გბმოსწორებიბ გზები.

საკვბნძო სიტყვები: ფარმბცევეტული ბბზბარი, ფბსიბ რეგულბცია, ბლიარებითი რეჟიმი, რეფერენტული ფბსი, გენერიული პროდუქტი, კარგი სბწბრმოო პრბქტიკბ (GMP), კარგი სბდისტრიბუციო პრბქტიკბ (GDP), კარგი ლბბორბტორიული პრბქტიკბ (GLP), კარგი კლინიკური პრბქტიკბ (GCP), კარგი ფარმბკო-ზედბმხედველობიბ პრბქტიკბ (GVP).